

MMT-02 Execution Strategy-II

Key Takeaways

- Learning about Pegging and Discretion Orders
- Understanding blended strategies
- Getting familiar with Market Terminology
- End to End understanding of an algorithmic trading strategy

Pre-requisites

- Please watch the video by Robert Almgren (link given). Link:
<https://videos.birs.ca/2013/13w5008/201309031513-Almgren.mp4>

Robert Almgren is the foremost practitioner of market micro-structure and execution algorithms. His firm Quantitative Brokers is used by a lot of Funds for execution. This video details the various issues that are faced in developing the execution algorithms and allows us a ring side view of what parameters to use and assess the trading model.

Downloadable Files

- One folder is available for download: “MMT02-Inclass Exercises File.zip” Please download it prior to the lecture.

Practical use of the topics learnt in this session

- Understand pegging and discretion orders and how they are used in getting orders executed
- Understand the role of passive and aggressive agents in executing a trading strategy
- Have an end-to-end understanding of an algorithmic trading strategy

Recommended time for the session & related coursework: 7 hours